Focus Media Information Tech (002027.SZ): Conditional regulatory approval of proposed Xinchao acquisition, potential for a more scalable

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What happened:

- On **10 October 2026**, China's State Administration for Market Regulation conditionally approved Focus Media's proposed acquisition of control of Xinchao Media. The decision represents China's first advertising-sector merger approved subject to restrictive conditions. The regulator defined the relevant market narrowly as elevator-media advertising in China.
- Approval is subject to six principal conditions: 1) Existing customer contracts and commercial terms must continue to be honored, 2) Customer service standards, including maintenance, display quality and data feedback, cannot fall below pre-transaction levels, 3) Without justifiable reasons, **annual actual transaction prices in each city cannot exceed the corresponding actual prices** charged by Focus Media and Xinchao Media during the 24 months before the conditions became effective, 4) Services must be provided on fair, reasonable and non-discriminatory terms, without unjustified refusal to supply, tying or unreasonable conditions, 5) The parties must **relinquish rights under existing exclusivity clauses** with property and location owners; new or renewed location contracts cannot contain exclusivity or automatic-renewal clauses, 6) The combined entity must strengthen its antitrust compliance system and conduct regular compliance training.
- The conditions apply for five years, with annual compliance reporting and oversight by the regulator or an appointed monitoring trustee. The antitrust conditional approval removes a major transaction hurdle — the deal has not yet fully closed and remains subject to the remaining securities-review and registration procedures, likely before 2026 year end. We do not take a view on the likelihood of the proposed acquisition being completed, and our earnings and TP are unchanged — in this note we provide some context for investors.

Background of proposed Xinchao deal

- Focus Media said it plans to acquire **90% of Xinchao Media for RMB7.794bn**, with consideration almost entirely equity-funded: RMB7.765bn in newly issued Focus Media shares and RMB29.65mn in cash;
- Approximately 1.535bn new shares will be issued at **RMB5.06 per share**, equivalent to around 9.6% of post-issuance share capital. Following completion,

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Focus Media will hold 90% and exercise sole control, while non-participating shareholders retain 9.98%, which will be separately negotiated and acquired by Focus Media with cash offer of RMB505mn following the completion of announced Xinchao deal. Former Xinchao Media shareholders, including Zhang Jixue, Chongqing JD and Baidu Online, will become minority shareholders of Focus Media.

- Zhang Jixue, Xinchao Media's founder, is expected to become vice president and chief growth officer of Focus Media after completion, providing management continuity and aligning his interests with the combined company.
- Xinchao Media's reported financials were as below exhibit. As of September 2025, Xinchao Media operated approximately 773,200 outdoor digital-media units, predominantly in residential communities. Its network therefore complements Focus Media's stronger position in office buildings and commercial locations.

Exhibit 1: Xinchao is c. 13% of Focus revenue but much lower net margin in the past

RMB mn	2023	2024	2025
Revenue			
Xinchao Media	1,894	1,988	1,727
Focus Media	11,904	12,262	12,759
Xinchao as % of Focus	15.9%	16.2%	13.5%
Attributable net profit			
Xinchao Media	-140	42	54
Focus Media	4,347	4,668	5,044
Net margin			
Xinchao Media	-7.4%	2.1%	3.1%
Focus Media	36.5%	38.1%	39.5%

Source: Company data

Implications for Focus Media

Positives

- **Higher deal closing probability:** The conditional antitrust approval removes a major regulatory uncertainty and materially improves the probability of transaction completion. An overhang largely removed, in our view.
- **Greater network scale and coverage:** Consolidating Xinchao Media would add approximately RMB1.7–2.0bn of annual revenue and expand Focus Media's exposure to residential-community advertising. Focus Media could introduce its national advertiser base to Xinchao Media's community inventory, supporting utilization and sell-through without relying on material price increases.
- **Cost-synergy potential:** The combined entity may reduce overlapping location costs, equipment procurement, maintenance, personnel and back-office expenses. The regulatory remedies restrict pricing and exclusivity, but do not prohibit operational integration or cost rationalization.
- **Balance-sheet preservation:** Only RMB29.65mn would be payable in cash, limiting the immediate cash-flow and leverage impact. Former Xinchao Media shareholders

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would receive mainly Focus Media shares, aligning their interests with the post-deal company.

Negatives

- **Pricing upside and Location exclusivity could be constrained:** The city-level historical price ceiling limits the thesis that industry consolidation would enable the combined entity to raise transaction prices. Though we would still see room for price promotion and discounts adjustments. Relinquishing existing exclusive rights and prohibiting new exclusivity and automatic-renewal clauses could facilitate competitor access to premium locations and create greater uncertainty around renewal costs and retention.
- **Potential EPS dilution:** The issuance of approximately 1.535bn shares, or around 9.6% of post-issuance capital, would create near-term dilution. Xinchao Media's current profit contribution is relatively small compared with the transaction consideration.
- **Execution and goodwill risk:** Pro forma goodwill was approximately RMB4.67bn as of March 2026, representing 15.32% of combined assets and 19.79% of combined net assets. Weak utilization improvement or slower-than-expected cost synergies could raise future impairment risk, if the business is under further pressure.

Bottom line: The regulatory approval is positive for overhang removal and potential cost synergies in coming years, but less positive for potential near term financial outlook/EPS dilution. Further upside would now rely primarily on **higher utilization, customer cross-selling and cost savings**, rather than price increases or exclusive control of elevator-media locations.

For upcoming 2H26 result, we expect near-term pressure on ads growth given the weak consumption environment and competition from online traffic, as well as relatively high base last year. We see profit margin should remain largely stable given the cost control and still healthy balance sheet even after potential deal completion, thus high shareholder return/FCF generation remain intact.

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Exhibit 2: We expect near term topline pressure for 2H26

Rmb mn	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Total revenue	**14,836**	**9,425**	**11,904**	**12,262**	**12,759**	**12,224**	**12,719**	**13,315**	**2,858**	**3,255**	**3,494**	**3,152**	**2,915**	**3,076**	**3,227**	**3,005**
Inner building media	13,618	8,875	11,119	11,549	12,034	11,595	12,091	12,687								
Cinema media	1,173	538	769	689	639	543	543	543								
yoy growth	23%	-36%	26%	3%	4%	-4%	4%	5%	5%	1%	6%	5%	2%	-5%	-8%	-5%
COGS	4,817	3,797	4,109	4,137	3,766	3,592	3,715	3,823	1,009	930	905	922	911	854	922	905
Gross profit	**10,020**	**5,628**	**7,794**	**8,125**	**8,993**	**8,631**	**9,004**	**9,493**	**1,849**	**2,325**	**2,589**	**2,230**	**2,004**	**2,222**	**2,305**	**2,100**
Gross margin	**68%**	**60%**	**65%**	**66.3%**	**70.5%**	**70.6%**	**70.8%**	**71.3%**	**65%**	**71%**	**74%**	**71%**	**69%**	**72%**	**71%**	**70%**
Inner building media	71%	59%	66%	66.1%	70.0%	70.2%	70.3%	70.9%								
Cinema media	29%	77%	61%	70%	85%	86%	87%	87%								
Business tax and add-ons	80	178	236	245	257	244	254	266	56	65	71	64	57	62	65	61
As % of sales	1%	2%	2%	2%	2%	2%	2%	2%	2.0%	2.0%	2.0%	2.0%	1.9%	2.0%	2.0%	2.0%
Sales expense	2,658	1,779	2,203	2,268	2,424	2,224	2,263	2,330	537	625	659	603	482	547	607	588
As % of sales	18%	19%	19%	18%	19%	18%	18%	17%	18.8%	19.2%	18.9%	19.1%	16.5%	17.8%	18.8%	19.6%
Administrative expense	592	678	505	552	607	619	618	621	158	135	160	154	182	142	129	166
As % of sales	4%	7%	4%	4%	5%	5%	5%	5%	5.5%	4.1%	4.6%	4.9%	6.2%	4.6%	4.0%	5.5%
Other operating gain/(loss)	27	(865)	5	(238)	(180)	(100)	(50)	(50)	32	18	(4)	134	100	15	(20)	5
EBIT (operating profit)	**6,717**	**2,127**	**4,855**	**4,823**	**5,525**	**5,444**	**5,818**	**6,226**	**1,065**	**1,482**	**1,703**	**1,274**	**1,183**	**1,456**	**1,525**	**1,280**
yoy	55%	-68%	128%	-1%	15%	-1%	7%	7%	3%	16%	28%	8%	11%	-2%	-10%	0%
EBIT margin	45%	23%	41%	39.3%	43.3%	44.5%	45.7%	46.8%	37%	46%	49%	40%	41%	47%	47%	43%
Net interest income	169	110	73	18	0	1	19	23								
Investment gains	268	555	411	707	208	780	346	360								
Non-operating revenue	579	707	454	490	(1,843)	375	450	448								
Profit before tax	7,733	3,500	5,793	6,038	3,890	6,600	6,633	7,057								
Income tax	1,621	660	993	967	970	978	980	1,042								
Minority interest	48	49	(27)	(84)	(26)	(28)	(29)	(30)								
Net income to shareholders	**6,063**	**2,790**	**4,827**	**5,155**	**2,946**	**5,650**	**5,681**	**6,045**	**1,135**	**1,530**	**1,576**	**(1,294)**	**1,790**	**1,339**	**1,375**	**1,146**
yoy	51%	-54%	73%	7%	-43%	92%	1%	6%	9%	5%	7%	-209%	58%	-12%	-13%	-189%
EPS (Rmb)	0.42	0.19	0.33	0.36	0.20	0.39	0.39	0.42	0.08	0.11	0.11	(0.09)	0.12	0.09	0.10	0.08
Margin and return																
Gross margin	68%	60%	65%	66.3%	70.5%	70.6%	70.8%	71.3%	65%	71%	74%	71%	69%	72%	71%	70%
Net margin	41%	30%	41%	42.0%	23.1%	46.2%	44.7%	45.4%	40%	47%	45%	-41%	61%	44%	43%	38%
ROE	34%	16%	28%	29.7%	18.8%	39.3%	38.7%	40.4%								
Recurring net income	**5,414**	**2,394**	**4,347**	**4,668**	**5,044**	**4,668**	**5,005**	**5,359**	**988**	**1,476**	**1,540**	**1,039**	**1,066**	**1,224**		
Yoy	53%	-56%	82%	7%	8%	-7%	7%	7%	5%	18%	15%	-8%	8%	-17%		

Source: Company data, Goldman Sachs Global Investment Research

002027.SZ	12m Price Target: **Rmb6.80**	Price: **Rmb4.91**	Upside: **38.5%**

Buy

Market cap: Rmb70.9bn / $10.6bn
Enterprise value: Rmb67.3bn / $10.1bn
3m ADTV: Rmb781.8mn / $116.0mn
China
China Games, Entertainment & Healthcare Tech
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn)	12,758.7	12,223.6	12,719.5	13,315.4
EBITDA (Rmb mn)	5,734.0	5,634.8	6,022.5	6,404.1
EPS (Rmb)	0.20	0.39	0.39	0.42
P/E (X)	35.9	12.6	12.5	11.7
P/B (X)	7.4	4.9	4.8	4.7
Dividend yield (%)	4.6	7.6	7.6	8.1
N debt/EBITDA (ex lease,X)	(0.5)	(0.7)	(0.7)	(0.7)
CROCI (%)	19.6	31.2	30.9	32.0
FCF yield (%)	6.6	8.2	7.8	8.3

	3/26	6/26	9/26E	12/26E
EPS (Rmb)	0.12	0.09	0.10	0.08

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 9 Oct 2026 close.

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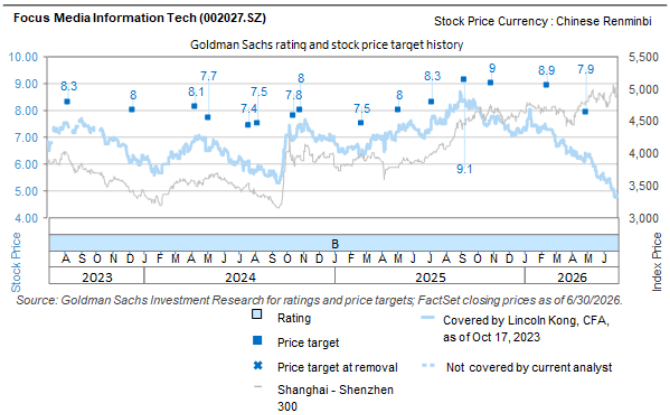
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Target price history table(s)

Focus Media Information Tech (002027.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
07-Sep-26	6.80	4.88
30-Apr-26	7.90	6.29
14-Feb-26	8.90	7.28
30-Oct-25	9.00	7.78
10-Sep-25	9.10	8.28
08-Jul-25	8.30	7.71
05-May-25	8.00	7.20
25-Feb-25	7.50	6.46
29-Oct-24	8.00	7.34
15-Oct-24	7.80	6.90
09-Aug-24	7.50	5.78
22-Jul-24	7.40	6.01
06-May-24	7.70	6.62
11-Apr-24	8.10	7.04
12-Dec-23	8.00	6.33

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